

ASPEED Technology (5274 TT)

 Target price: **TWD19,800.00** (from TWD18,381.00)

 Share price (5 Aug): **TWD16,020.00** | Up/downside: **+23.6%**

5 4 3 2 1


Buy
 (unchanged)

2Q26 results: gross margin a surprise

- 2H26 outlook remains promising with likely higher margins
- Potential inventory build is still healthy and under control
- Reaffirming our Buy (1) rating; raising our 12-month TP to TWD19,800

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What's new: ASPEED announced its 2Q26 results today (5 August).

What's the impact: 2Q26 results beat on higher GM. Net income was TWD1.84bn (EPS: TWD44.27), which is 9-18% above our estimate (TWD1.56bn) and the Bloomberg consensus (TWD1.68bn), respectively. Gross margin increased by 2.8pp QoQ to 72.0% (vs. 69.2% in 1Q26), better than investors' expectation on price increases for its products to pass through additional BT substrate costs. Strength was slightly offset by a higher employee stock-based bonus in 2Q26. Net profit was boosted by a higher non-operational gain of TWD180m, which could be FX gains.

Business outlook. We believe most investors are worried about the overbuilt BMC in 2026, as they cannot see a significant jump in regular server shipments in 2026 (likely 15-20% YoY). We expect ASPEED's BMC shipment volume to be at 30.5/36.1m (66%/19% YoY) in 2026/27 (vs. prior estimates of 29.4/34.7m), as we continue to see a better-than-expected quarter sales run rate. We expect solid regular server and AI demand ahead to provide market strength, although we consider some earlier pull-in in 2H26 given regular server shipment growth seems to be capped by a component shortage. We expect AI and non-AI servers to consume 12m/19m of BMC shipments, respectively, in 2026 and 16m/20m in 2027 due to a new CSP AI server contribution and a GPU client increasing its product offerings from the next generation.

Although the current run-rate for ASPEED's BMC shipment seems to be higher than market demand, we believe the potential excess inventory should be less than 3m (<10% of shipment), in line with the historical pattern. We also expect ASPEED to maintain its positive tone on shipments in 2H26 given support from back-end OAST vendors from 4Q26 and solid demand ahead. We believe the GM increased in 2Q26 due to its own price hikes, but we expect it to gradually decline QoQ in 2H26 on ongoing price hikes by substrate vendors. Based on our understanding, ASPEED is still negotiating another round of price hikes for substrates for 2027. Hence, the GM dilution we expect in 2027 would be due to the AST2700 ramp. Before shipment meets critical mass, we believe the GM would be suboptimal.

What we recommend: We lift our 2026-28E EPS by 8-12% to factor in our higher BMC shipment assumptions. We lift our 12M TP to TWD19,800, based on an unchanged 66x PER (high end of its past-3-year range of 21-78x) on our 1-year forward EPS forecast. Key risk: weak AI server demand.

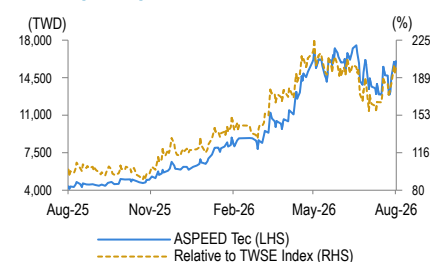
How we differ: Our 2026-28E EPS are 2-3% higher than the Bloomberg consensus, likely due to our bullish view on ASPEED's ASP and shipment.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	5.5	1.6	6.5
Net profit change	12.2	7.7	11.8
Core EPS (FD) change	12.2	7.7	11.8

Source: Daiwa forecasts

Share price performance



12-month range	4,113.64-17,522.73
Market cap (USDbn)	20.51
3m avg daily turnover (USDm)	151.57
Shares outstanding (m)	42
Major shareholder	FENG HUA INVEST (13.9%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	16,714	26,770	39,275
Operating profit (m)	9,221	15,156	22,058
Net profit (m)	7,699	12,391	17,907
Core EPS (fully-diluted)	185.048	297.842	430.433
EPS change (%)	96.0	61.0	44.5
Daiwa vs Cons. EPS (%)	3.3	1.9	1.5
PER (x)	86.6	53.8	37.2
Dividend yield (%)	0.5	0.5	0.7
DPS	80.0	80.0	120.0
PBR (x)	n.a.	n.a.	19.9
EV/EBITDA (x)	69.8	42.1	28.4
ROE (%)	80.9	77.5	66.4

Source: FactSet, Daiwa forecasts

ASPEED: Daiwa's revenue and earnings forecasts vs. consensus

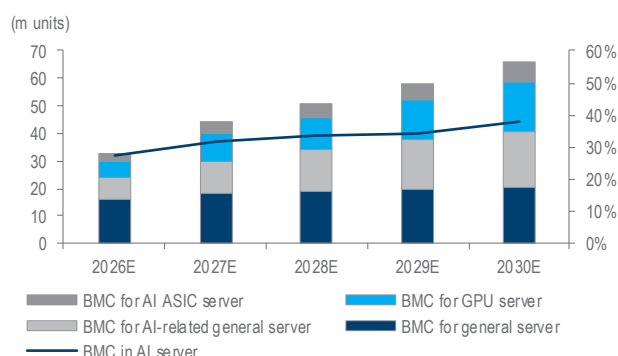
(TWDm)	2026E			2027E			2028E		
	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	15,843	16,714	16,481	26,346	26,770	26,157	36,881	39,275	37,328
Diff (%)		5.5%	1.4%		1.6%	2.3%		6.5%	5.2%
Gross Margin (%)	67.9%	70.7%	68.6%	68.1%	69.9%	66.8%	68.2%	69.1%	68.6%
Operating profit	8,339	9,221	9,014	14,038	15,156	14,950	19,691	22,058	21,495
Op Margin (%)	52.6%	55.2%	54.7%	53.3%	56.6%	57.2%	53.4%	56.2%	57.6%
Net profit	6,799	7,699	7,452	11,503	12,391	12,158	16,014	17,907	17,636
EPS (TWD)	164.92	185.05	179.11	276.50	297.84	292.25	384.9	430.43	423.91
Diff (%)		12.2%	3.3%		7.7%	1.9%		11.8%	1.5%

Source: Bloomberg, Daiwa forecasts

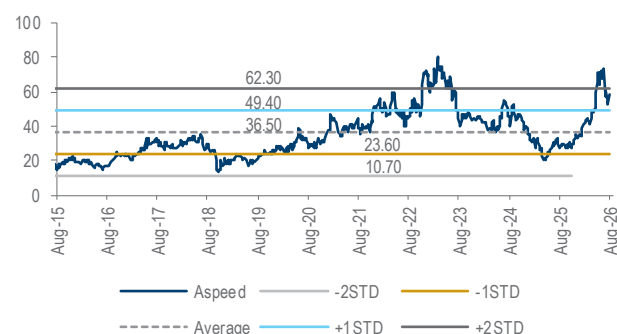
ASPEED: quarterly and annual P&L statement

(TWDm)	2026E				2027E				2025	2026E	2027E	2028E
	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE				
Net revenue	3,147	3,871	4,573	5,123	5,212	6,007	7,200	8,350	9,085	16,714	26,770	39,275
COGS	-970	-1,084	-1,330	-1,519	-1,539	-1,799	-2,186	-2,532	-2,906	-4,903	-8,056	-12,148
Gross profit	2,177	2,788	3,243	3,604	3,673	4,208	5,015	5,818	6,179	11,811	18,714	27,126
Operating expenses	-518	-702	-659	-712	-709	-805	-950	-1,094	-1,518	-2,590	-3,558	-5,069
Operating profit	1,659	2,086	2,584	2,892	2,964	3,403	4,064	4,724	4,660	9,221	15,156	22,058
Non-operating profit	109	180	44	35	134	35	35	35	195	367	239	189
Pre-tax profit	1,768	2,265	2,628	2,927	3,098	3,438	4,099	4,759	4,855	9,588	15,394	22,247
Income taxes	-354	-424	-526	-585	-604	-670	-799	-928	-928	-1,889	-3,002	-4,338
Net profit	1,414	1,841	2,102	2,341	2,493	2,767	3,300	3,831	3,928	7,699	12,391	17,907
Net EPS (TWD)	34.01	44.27	50.56	56.30	59.96	66.55	79.35	92.12	94.4	185.0	297.8	430.4
Operating Ratios												
Gross margin	69.2%	72.0%	70.9%	70.3%	70.5%	70.0%	69.6%	69.7%	68.0%	70.7%	69.9%	69.1%
Operating margin	52.7%	53.9%	56.5%	56.4%	56.9%	56.6%	56.4%	56.6%	51.3%	55.2%	56.6%	56.2%
Pre-tax margin	56.2%	58.5%	57.5%	57.1%	59.4%	57.2%	56.9%	57.0%	53.4%	57.4%	57.5%	56.6%
Net margin	44.9%	47.6%	46.0%	45.7%	47.8%	46.1%	45.8%	45.9%	43.2%	46.1%	46.3%	45.6%
YoY (%)												
Net revenue	52%	72%	96%	110%	66%	55%	57%	63%	41%	84%	60%	47%
Gross profit	59%	83%	101%	116%	69%	51%	55%	61%	49%	91%	58%	45%
Operating profit	62%	76%	110%	137%	79%	63%	63%	63%	60%	98%	64%	46%
Pre-tax profit	60%	188%	74%	101%	75%	52%	56%	63%	53%	97%	61%	45%
Net profit	59%	193%	73%	95%	76%	50%	57%	64%	53%	96%	61%	45%
QoQ (%)												
Net revenue	29%	23%	18%	12%	2%	15%	20%	16%				
Gross profit	30%	28%	16%	11%	2%	15%	19%	16%				
Operating profit	36%	26%	24%	12%	2%	15%	19%	16%				
Pre-tax profit	21%	28%	16%	11%	6%	11%	19%	16%				
Net profit	18%	30%	14%	11%	7%	11%	19%	16%				

Source: Company, Daiwa forecasts

ASPEED: BMC TAM forecast


Source: Company

ASPEED: 1-year forward PER bands


Source: Bloomberg

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Server BMC shipment (m)	12.8	14.9	6.7	13.0	18.4	30.5	36.2	41.5
Server BMC ASP (USD)	9.3	10.7	12.3	12.6	13.7	15.7	20.7	25.5
PC/AV extension IC ASP (USD)	15.6	14.7	14.1	14.1	12.2	11.2	11.5	11.2

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Server BMC	3,392	4,784	2,581	5,261	7,748	15,076	23,962	33,913
PC/AV extension IC	244	344	276	328	351	367	426	464
Other Revenue	2	82	274	871	985	1,271	2,382	4,899
Total Revenue	3,638	5,210	3,130	6,460	9,085	16,714	26,770	39,275
Other income	0	0	0	0	0	0	0	0
COGS	(1,262)	(1,819)	(1,122)	(2,306)	(2,906)	(4,903)	(8,056)	(12,148)
SG&A	(217)	(314)	(295)	(407)	(476)	(789)	(1,052)	(1,439)
Other op.expenses	(506)	(628)	(633)	(829)	(1,042)	(1,801)	(2,506)	(3,629)
Operating profit	1,652	2,449	1,080	2,918	4,660	9,221	15,156	22,058
Net-interest inc./(exp.)	7	28	73	69	143	135	139	139
Assoc/forex/extraord./others	(49)	138	43	180	52	232	100	50
Pre-tax profit	1,610	2,615	1,195	3,167	4,855	9,588	15,394	22,247
Tax	(297)	(509)	(188)	(596)	(928)	(1,889)	(3,002)	(4,338)
Min. int./pref. div./others	0	0	0	0	0	(1)	(1)	(1)
Net profit (reported)	1,313	2,106	1,007	2,571	3,928	7,699	12,391	17,907
Net profit (adjusted)	1,313	2,106	1,007	2,571	3,928	7,699	12,391	17,907
EPS (reported)(TWD)	31.572	50.612	24.201	61.806	94.412	185.048	297.842	430.433
EPS (adjusted)(TWD)	31.572	50.612	24.201	61.806	94.412	185.048	297.842	430.433
EPS (adjusted fully-diluted)(TWD)	31.572	50.612	24.201	61.806	94.412	185.048	297.842	430.433
DPS (TWD)	21.486	28.915	40.909	20.000	52.000	80.000	80.000	120.000
EBIT	1,652	2,449	1,080	2,918	4,660	9,221	15,156	22,058
EBITDA	1,871	2,689	1,385	3,174	4,984	9,411	15,446	22,508

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	1,610	2,615	1,195	3,167	4,855	9,588	15,394	22,247
Depreciation and amortisation	219	240	306	256	324	190	290	451
Tax paid	(297)	(509)	(188)	(596)	(928)	(1,889)	(3,002)	(4,338)
Change in working capital	(148)	(380)	272	(645)	77	(1,231)	(1,512)	(1,868)
Other operational CF items	305	344	(1,066)	962	167	0	0	0
Cash flow from operations	1,689	2,310	519	3,145	4,496	6,659	11,171	16,491
Capex	(93)	(120)	(83)	(25)	(274)	(334)	(535)	(785)
Net (acquisitions)/disposals	0	0	(46)	(130)	(50)	0	0	0
Other investing CF items	(281)	(55)	128	(191)	(71)	0	0	0
Cash flow from investing	(374)	(175)	(0)	(345)	(395)	(334)	(535)	(785)
Change in debt	0	0	0	0	0	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(892)	(1,202)	(1,702)	(756)	(1,967)	(3,328)	(3,328)	(4,992)
Other financing CF items	(24)	(151)	(26)	(25)	(25)	0	0	0
Cash flow from financing	(916)	(1,353)	(1,728)	(781)	(1,991)	(3,328)	(3,328)	(4,992)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	398	781	(1,210)	2,018	2,110	2,996	7,307	10,713
Free cash flow	1,595	2,189	436	3,120	4,222	6,325	10,635	15,706

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	2,510	3,356	1,984	4,011	6,298	9,295	16,602	27,315
Inventory	158	400	306	357	280	537	883	1,331
Accounts receivable	831	995	728	1,487	1,642	2,878	4,610	6,763
Other current assets	10	28	405	132	188	188	188	188
Total current assets	3,509	4,779	3,423	5,987	8,408	12,898	22,282	35,597
Fixed assets	189	218	198	355	409	554	799	1,134
Goodwill & intangibles	650	757	620	705	608	608	608	608
Other non-current assets	209	173	304	679	909	417	417	417
Total assets	4,557	5,927	4,544	7,726	10,334	14,476	24,106	37,756
Short-term debt	0	0	0	0	0	0	0	0
Accounts payable	264	317	242	426	616	879	1,444	2,177
Other current liabilities	667	1,067	438	1,457	1,828	1,828	1,828	1,828
Total current liabilities	931	1,385	680	1,883	2,444	2,706	3,272	4,005
Long-term debt	0	0	0	0	0	0	0	0
Other non-current liabilities	79	54	31	204	319	319	319	319
Total liabilities	1,010	1,439	710	2,087	2,763	3,026	3,591	4,324
Share capital	344	378	378	378	378	416	416	416
Reserves/R.E./others	3,203	4,110	3,456	5,261	7,193	11,035	20,099	33,015
Shareholders' equity	3,546	4,488	3,834	5,639	7,571	11,451	20,515	33,431
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	4,557	5,927	4,544	7,726	10,334	14,476	24,106	37,756
EV	663,967	663,120	664,492	662,465	660,178	657,182	649,875	639,161
Net debt/(cash)	(2,510)	(3,356)	(1,984)	(4,011)	(6,298)	(9,295)	(16,602)	(27,315)
BVPS (TWD)	85.275	107.871	92.162	135.549	181.978	275.237	493.114	803.582

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	18.7	43.2	(39.9)	106.4	40.6	84.0	60.2	46.7
EBITDA (YoY)	26.6	43.7	(48.5)	129.1	57.0	88.8	64.1	45.7
Operating profit (YoY)	30.0	48.2	(55.9)	170.3	59.7	97.9	64.4	45.5
Net profit (YoY)	30.7	60.4	(52.2)	155.4	52.8	96.0	61.0	44.5
Core EPS (fully-diluted) (YoY)	30.5	60.3	(52.2)	155.4	52.8	96.0	61.0	44.5
Gross-profit margin	65.3	65.1	64.1	64.3	68.0	70.7	69.9	69.1
EBITDA margin	51.4	51.6	44.3	49.1	54.9	56.3	57.7	57.3
Operating-profit margin	45.4	47.0	34.5	45.2	51.3	55.2	56.6	56.2
Net profit margin	36.1	40.4	32.2	39.8	43.2	46.1	46.3	45.6
ROAE	40.1	52.4	24.2	54.3	59.5	80.9	77.5	66.4
ROAA	31.8	40.2	19.2	41.9	43.5	62.1	64.2	57.9
ROCE	50.5	61.0	25.9	61.6	70.6	97.0	94.8	81.8
ROIC	n.a	n.a	61.0	n.a	n.a	n.a	n.a	n.a
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	18.5	19.5	15.7	18.8	19.1	19.7	19.5	19.5
Accounts receivable (days)	67.7	64.0	100.4	62.6	62.9	49.4	51.0	52.8
Current ratio (x)	3.8	3.5	5.0	3.2	3.4	4.8	6.8	8.9
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	88.8	91.6	80.8	82.6	84.1	84.7	43.2	40.3
Free cash flow yield	0.2	0.3	0.1	0.5	0.6	0.9	1.6	2.4

Source: FactSet, Daiwa forecasts

Company profile

Established in November 2004, Aspeed is a fabless IC design company specialising in baseboard management controllers (BMCs), which are mostly used for the remote management of servers. Aspeed is a global leader in BMC, with about 70% market share. Its other products include PC/AV extension SoC, which supports the extension of digital signals of PCs or multimedia content to remote terminals; and Cupola360, which is a spherical image processor that supports 360-degree cameras.

ESG analysis

ESG risks

Risks	Management	Analyst comments
G	Executive/board quality	2 Aspeed's board consists of 9 directors, with 4 independent directors. The directors' backgrounds appear to have a high correlation to semiconductors (either education or work experience), which we see as a positive for executive quality. In 2024, Aspeed held 5 board meetings and the average attendee rate was 100%. Given Aspeed's Chairman is also the CEO, we think it is a negative factor for board/executive management as well as external shareholders.
	Capital management	1 Aspeed declared a DPS of TWD80 in 2025, representing an 77% payout ratio. Being a leading global board management controller (BMC) IC design vendor with c.70% market share globally, the company's leading position and asset-light model (major expenses are from R&D employees) allow it to maintain high ROE/ROA ratios and a high dividend payout policy. BMC IC recently penetrated new applications (such as power supply, storage, edge servers), which can improve its profitability on a higher revenue scale, in our view.
	Related party & transaction	2 In 2024, there were no sales to or purchases from related parties. In previous years, the main purchases from related parties was from Avago. After selling its fully-owned Emulex unit to Aspeed, Avago (Broadcom) became an Aspeed's shareholder with a c.6% stake in 2016. We believe the bargaining power from its 6% shareholding was not sufficient to preload its IC products on Aspeed's products or earn unfair profits. In any case, this relationship ended in February 2021. As such, we see limited risk from related-party transactions.
S	Supply chain management	1 Aspeed ensures that suppliers comply with social responsibility, green environmental protection, occupational safety and health, human rights and RBA, and prefer to work with ISO9001, ISO14001 and ISO45001 certified suppliers. In addition, every Aspeed supplier is required to issue a publicly disclosed sustainability management report.
E	Water & wastewater management	1 Being a fabless IC design company, Aspeed's business doesn't involve a production process. According to the company's data, it produced 2,579 tonnes of wastewater in 2023. As such, we see limited risk from its water and waste water management.
E	Waste & hazardous materials management	1 Being a fabless IC design company, Aspeed's business doesn't involve production processes that may produce hazardous materials. That said, the company indicated it would employ green design concepts and simplified product structures throughout its R&D process in order to reduce pollution. As such, we see limited risk from its waste and hazardous materials management.
E	GHG emissions	1 Due to its fabless business model, Aspeed produces limited emissions of GHG, wastewater, and waste materials each year. According to the company's data, it produced around 262 tonnes of CO2 in 2024.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 4 May 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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* The amount of the trading commission cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

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